

Table 51.11 Special Features

Description	Bull Market	Bear Market
Partial rise, success	75%	80%
Partial decline, success	77%	60%

Table 51.11 shows special features of the rectangle. If you are not familiar with a partial rise or decline, consult the book's Glossary.

Partial rises and declines are reliable predictors of breakout direction. For example, an upward breakout follows a partial decline 77% of the time (bull market). A downward breakout follows a partial rise 75% of the time. As good as those numbers are, trading with them isn't as easy as it sounds. Try using a trading simulator to test your skills before using real money.

Experience

Puget Sound Energy (PSD) in 2006 formed a tall and long rectangle, which I show in **Figure 51.4** at A.

A trendline drawn along the peaks touched the line several times and another trendline drawn along the bottoms also touched that line multiple times. Price crosses the pattern from top to bottom, filling the whitespace with price movement. That's how a rectangle bottom is supposed to appear. At B, a partial decline correctly predicts an upward breakout, but I didn't use that as an early entry signal. Rather, I waited for the day after the breakout before buying.

Here's some information from my notebook: “Stop, % loss: 19.97, –9%. I want to keep this wide just in case it throws back [it did not throw back]. This is intended to be a longer term holding. Volatility stop: \$20.97, –4.0%. Minor low stop: 20.76, – 5.0% on 23 June 2006.”

I'm not sure which stop I used, but what surprises me is that I used one at all. Usually I don't use a stop on a long-term holding.

The utility average was trending high, which is what I like to see from the market (for this electric utility). Upside target was 23.70, a big W target on 3 October 2005. I show the big W as the left side at G, bottom at H and I, but the pattern didn't perform as expected (no tall right side). However, the